

LegalEase AI Report

As an expert legal assistant, I've analyzed OpenAI's Terms of Use (effective January 1, 2026) for individuals using services like ChatGPT and DALL·E. Here's a breakdown in simple language:

1. Easy Summary

This document is the official rulebook for using OpenAI's personal AI services. It's a legal agreement between you and OpenAI. It covers what you can and can't do with their services, who owns the content you create, how payments and cancellations work, and what happens if there's a disagreement (spoiler: usually arbitration, not court). It also highlights that you are responsible for checking the accuracy of the AI's output and that OpenAI has very limited liability if things go wrong.

2. Payment Clauses

- * **Billing:** If you buy paid services, you need to provide accurate billing details and a valid payment method. For subscriptions, your payment method will be charged automatically until you cancel.
- * **Taxes:** You are responsible for all applicable taxes.
- * **Failed Payments:** If your payment doesn't go through, OpenAI can downgrade your account or suspend your access.
- * **Service Credits:** Some services can be paid for in advance by buying service credits, which have their own separate terms.
- * **Cancellation:** You can cancel paid subscriptions anytime, but payments are generally non-refundable unless required by law.
- * **Price Changes:** OpenAI can change prices. For subscription price increases, they'll give you at least 30 days' notice, and the new price takes effect on your next renewal, allowing you to cancel if you don't agree.

3. Privacy Clauses

- * **Separate Policy:** The most important privacy details are *not* in these Terms but in OpenAI's **Privacy Policy**, which you are strongly advised to read separately.
- * **Content Use:** OpenAI can use your "Content" (both the information you put in, "Input," and what the AI generates, "Output") to operate, maintain, develop, and improve their services, as well as to comply with the law and enforce their rules.
- * **Opt-Out for Training:** You can opt out of having your Content used to train OpenAI's models. However, they warn that this might limit the service's ability to "better address your specific use case."

4. Termination Clauses

- * **Your Choice:** You can stop using the services at any time.
- * **OpenAI's Right to Terminate/Suspend:** OpenAI can suspend or terminate your access, or delete your account, if they determine:
 - * You violated these Terms or their Usage Policies.
 - * They must do so to comply with the law.
 - * Your use creates risk or harm to OpenAI, its users, or others.
- * **Inactive Accounts:** If your account is inactive for over a year and you don't have a paid subscription, OpenAI may terminate it after giving you notice.
- * **Appeals:** You can appeal a suspension or termination.
- * **Discontinuation of Services:** OpenAI can decide to stop offering services entirely. If they do,

they'll give you advance notice and refund any money for prepaid, unused services.

5. Liability Clauses

* **"As Is" Service:** OpenAI provides its services "as is," meaning they don't make any promises or guarantees about them. They don't guarantee the services will be uninterrupted, accurate, error-free, secure, or that your content won't be lost or altered.

* **User's Risk:** You agree that using the AI's output is *at your sole risk*. You should *not* rely on it as the only source of truth, factual information, or as a substitute for professional advice.

* **Limited Liability for Damages:** OpenAI, its affiliates, or partners will *not* be held responsible for any indirect, accidental, special, or consequential damages (like lost profits, goodwill, data, or other losses), even if they were warned such damages could happen.

* **Maximum Payout:** If OpenAI is found liable, the most they will pay is the *greater of* (a) the amount you paid for the specific service in the 12 months before the issue arose, or (b) \$100.

* **Local Laws:** These limits might not apply if your local laws prevent them.

6. User Responsibilities

* **Age:** You must be at least 13 (or your country's minimum age for consent). If you're under 18, you need a parent or guardian's permission.

* **Account Info:** You must provide accurate and complete information when registering, keep your account credentials private, and are responsible for all activity under your account.

* **Legal & Policy Compliance:** You must use the services in a way that follows all applicable laws, as well as OpenAI's Sharing & Publication Policy, Usage Policies, and other guidelines.

* **Prohibited Activities:** You cannot use the services for anything illegal, harmful, or abusive. Examples include infringing on others' rights, trying to copy or reverse-engineer the service, automatically extracting data, pretending AI output is human, interfering with the service, or using AI output to build competing models.

* **Content Responsibility:** You are responsible for your Input and Output, making sure it doesn't break any laws or these Terms. You must have all necessary rights to provide your Input.

* **Accuracy Verification:** You *must* check the AI's output for accuracy and suitability for your use, including using human review.

* **No Critical Decisions:** You *must not* use AI output relating to a person for any purpose that could have a legal or significant impact on them (e.g., credit, employment, medical decisions).

* **Trade Laws:** You must comply with all trade laws, including sanctions and export controls.

7. Financial Obligations

* **Service Fees:** If you opt for paid services (subscriptions or service credits), you are obligated to pay the associated fees and all applicable taxes.

* **Indemnification (for Businesses/Organizations):** If you are a business or organization, you agree to cover OpenAI, its affiliates, and personnel for any costs, losses, liabilities, and legal fees arising from third-party claims related to your use of the services, your Content, or any breach of these Terms. This is a significant financial risk for corporate users.

8. Hidden Risks

1. **Mandatory Arbitration & Class Action Waiver:** This is a major risk. You are giving up your right to sue OpenAI in a traditional court and your right to join a class-action lawsuit. All disputes must be resolved through individual arbitration, which can be less favorable to individual consumers. You *can* opt out of arbitration within 30 days of creating an account or an update to these terms, but you must actively do so.

2. **Extremely Limited OpenAI Liability:** OpenAI's maximum financial responsibility for any issues (capped at \$100 or 12 months' fees) is very low, shifting almost all financial risk onto the user, even if the service causes significant harm due to errors.

3. **High User Responsibility for AI Accuracy:** The Terms explicitly state that you *alone* are responsible for verifying the accuracy of AI output and should never rely on it for important

decisions. If you act on incorrect information from the AI, the blame and consequences fall on you.

4. **Content Usage is Broad:** While you own your Output, OpenAI has a broad right to use your Content (Input and Output) to "provide, maintain, develop, and improve our Services." Even with an opt-out for model training, the general usage clause remains significant.

5. **Corporate Account Takeover:** If you register with a work email, your employer/organization can take control of your account and access your content, potentially without direct notice from OpenAI (if your organization already informed you).

6. **Privacy Details in Separate Document:** The crucial "Privacy Policy" is explicitly *not* part of these Terms. This means users often skip reading it, leaving them unaware of how their personal data is truly handled.

7. **Non-Unique Output:** While you own your Output, it may not be unique, and other users could receive similar or identical output. This could diminish the value or exclusivity you might expect from your generated content.

9. Risk Score (0-100)

75/100 (High Risk)

This score is high because the terms heavily shift responsibility and risk away from OpenAI and onto the user. The mandatory arbitration with a class action waiver, the extremely limited liability for OpenAI, and the explicit burden on the user to verify AI output are significant drawbacks. The broad content usage rights and the potential for corporate account takeover also contribute to a higher risk profile.

10. Final Recommendation

Proceed with Extreme Caution.

Here's what you should do:

1. **READ THE PRIVACY POLICY & OTHER POLICIES:** Do not skip the Privacy Policy, Service Terms, Usage Policies, and Sharing & Publication Policy. These contain vital details not fully explained here.

2. **OPT OUT OF ARBITRATION IMMEDIATELY:** If you want to keep your right to sue in court or participate in class-action lawsuits, fill out the opt-out form within **30 days** of creating your account or any updates to the arbitration terms. This is a critical step.

3. **NEVER BLINDLY TRUST AI OUTPUT:** Always critically evaluate, fact-check, and verify any information or output generated by the AI, especially before using it for important decisions, professional advice, or anything that could have a legal or material impact on you or others. Assume it could be wrong or misleading.

4. **BE MINDFUL OF INPUT:** Be very cautious about entering any personal, sensitive, or confidential information, as OpenAI retains broad rights to use your Content, and your privacy is governed by a separate document.

5. **AVOID WORK EMAILS:** If possible, avoid registering with an email address owned by your employer or organization, unless you are fully aware and accept that they could take control of your account and access your content.

6. **UNDERSTAND LIABILITY LIMITS:** Be aware that you have very little recourse if the service causes you significant harm, as OpenAI's liability is severely capped.